Atal Pension Yojana (APY) - Details of the Scheme

1. Introduction

In order to move towards creating a universal social security system for all Indians, especially the poor and the underprivileged, the Government, in the Budget for 2015-16, announced three Social Security Schemes pertaining to the Insurance and Pension Sectors. In this direction, the Atal Pension Yojana was launched on 9th May 2015.The Scheme is being implemented with effect from 1st June 2015.

2. Benefits of APY

2.1 APY is a voluntary, periodic contribution-based pension system, under which the subscriber would receive the following benefits:

(i) Central Government guaranteed minimum pension amount:

Each subscriber under APY shall receive a Central Government guaranteed minimum pension of Rs. 1000 per month or Rs. 2000 per month or Rs. 3000 per month or Rs. 4000 per month or Rs. 5000 per month, after the age of 60 years until death;

(ii) Central Government guaranteed minimum pension amount to the spouse:

After the subscriber's demise, the spouse of the subscriber shall be entitled to receive the same pension amount as that of the subscriber until the death of the spouse;

(iii) Return of the pension wealth to the nominee of the subscriber:

After the demise of both, the subscriber and the spouse, the nominee of the subscriber shall be entitled to receive the pension wealth, as accumulated till the age of 60 years of the subscriber.

2.2 Upon the death of the subscriber (before the age of 60 years), the spouse of the subscriber has the option to continue contributing to the APY account of the subscriber for the remaining vesting period till the original subscriber would have attained the age of 60 years. The spouse of the subscriber shall then be entitled to receive the same pension amount as that of the subscriber until the death of the spouse. After the death of both, the subscriber and the spouse, the nominee of the subscriber shall be entitled to receive the pension wealth, as accumulated till the age of 60 years of the subscriber. The minimum pension is guaranteed by the Government, i.e., if the accumulated corpus based on contributions earns a lower-than-estimated return on investment and is inadequate to provide the minimum guaranteed pension, the Central Government would fund such inadequacy. Alternatively, if the returns on investment are higher, the subscribers would get enhanced pensionary benefits.

3. Eligibility for APY

APY is open to all citizens of India who have a savings bank account. The minimum age of joining APY is 18 years and maximum age is 40 years.

From 1st October, 2022, any citizen who is or has been an income-tax payer, is not eligible to join APY.

4. Age of joining and contribution payment by subscribers

The minimum age of joining PY is 18 year and maximum is 40 years. The age of exit and start of pension is 60 years. The subscriber's contributions to APY shall be made through the facility of 'auto-debit' of the prescribed contribution amount from the savings bank account of the subscriber in monthly, quarterly or half-yearly frequency. The subscribers are required to contribute the prescribed contribution amount from the age of joining APY till the age of 60 years. The details of age-wise, pension-wise and contribution-frequency-wise prescribed contribution amount and the indicative pension wealth available for the nominee is given in the table at **Annex – 1.**

5. Exit, withdrawal and pension payment

5.1 On completion of 60 years, the subscriber will get the guaranteed minimum monthly pension, or higher monthly pension, depending on the investment returns. In exceptional circumstances, i.e., in the event of the death of beneficiary or specified illnesses, as mentioned in the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under the National Pension System) Regulations, 2015, before the age of 60 years, the accumulated pension wealth till date would be given to the nominee or the subscriber, as the case may be. In case a subscriber, who has availed Government co-contribution under APY, chooses to voluntarily exit APY before the age 60, he shall only be refunded the contributions made by him to APY, along with the net actual interest earned on his contributions (after deducting the account maintenance charges), whereas, the Government co-contribution, and the interest earned on the Government co-contribution, shall not be returned to such subscribers**.**

5.2 In case a subscriber, who joined on or after 1st October, 2022, is subsequently found to have been an income-tax payer on or before the date of application, the APY account shall be closed and the accumulated pension wealth till date would be given to the subscriber.

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Annex-1

Monthly, Quarterly and Half-yearly prescribed contributions under APY for different minimum guaranteed amount of pension at different entry age and the return of corpus amount to the nominee

		Minimum Guaranteed Pension of Rs. 1000/month			Minimum Guaranteed Pension of Rs.2000/month			Minimum Guaranteed Pension of Rs.3000/month			Minimum Guaranteed Pension of Rs.4000/month			Minimum Guaranteed Pension of Rs.5000/month		
Return of Corpus Amount to the Nominee		**Rs. 1.7 Lakh**			**Rs. 3.4 Lakh**			**Rs. 5.1 Lakh**			**Rs. 6.8 Lakh**			**Rs. 8.5 Lakh**		
Age at entry	Vesting period	Monthly contribution	Quarterly contribution	Half yearly contribution	Monthly contribution	Quarterly contribution	Half yearly contribution	Monthly contribution	Quarterly contribution	Half yearly contribution	Monthly contribution	Quarterly contribution	Half yearly contribution	Monthly contribution	Quarterly contribution	Half yearly contribution
18	42	42	125	248	84	250	496	126	376	744	168	501	991	210	626	1239
19	41	46	137	271	92	274	543	138	411	814	183	545	1080	228	679	1346
20	40	50	149	295	100	298	590	150	447	885	198	590	1169	248	739	1464
21	39	54	161	319	108	322	637	162	483	956	215	641	1269	269	802	1588
22	38	59	176	348	117	349	690	177	527	1045	234	697	1381	292	870	1723
23	37	64	191	378	127	378	749	192	572	1133	254	757	1499	318	948	1877
24	36	70	209	413	139	414	820	208	620	1228	277	826	1635	346	1031	2042
25	35	76	226	449	151	450	891	226	674	1334	301	897	1776	376	1121	2219
26	34	82	244	484	164	489	968	246	733	1452	327	975	1930	409	1219	2414
27	33	90	268	531	178	530	1050	268	799	1582	356	1061	2101	446	1329	2632
28	32	97	289	572	194	578	1145	292	870	1723	388	1156	2290	485	1445	2862
29	31	106	316	626	212	632	1251	318	948	1877	423	1261	2496	529	1577	3122
30	30	116	346	685	231	688	1363	347	1034	2048	462	1377	2727	577	1720	3405
31	29	126	376	744	252	751	1487	379	1129	2237	504	1502	2974	630	1878	3718
32	28	138	411	814	276	823	1629	414	1234	2443	551	1642	3252	689	2053	4066
33	27	151	450	891	302	900	1782	453	1350	2673	602	1794	3553	752	2241	4438
34	26	165	492	974	330	983	1948	495	1475	2921	659	1964	3889	824	2456	4863
35	25	181	539	1068	362	1079	2136	543	1618	3205	722	2152	4261	902	2688	5323
36	24	198	590	1169	396	1180	2337	594	1770	3506	792	2360	4674	990	2950	5843
37	23	218	650	1287	436	1299	2573	654	1949	3860	870	2593	5134	1087	3239	6415
38	22	240	715	1416	480	1430	2833	720	2146	4249	957	2852	5648	1196	3564	7058
39	21	264	787	1558	528	1574	3116	792	2360	4674	1054	3141	6220	1318	3928	7778
40	20	291	867	1717	582	1734	3435	873	2602	5152	1164	3469	6869	1454	4333	8581